

Table 58.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	95% up	91% up
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 41%, M 50%, H 44%	L 32%*, M 29%, H 27%
Throwbacks occurrence	66%	67%
Average time to throwback peaks	6% in 7 days	8% in 6 days
Average time to throwback ends	13 days	12 days
Average rise for patterns with throwbacks	43%	26%
Average rise for patterns without throwbacks	49%	32%
Percentage price resumes trend	79%	75%
Performance with breakout day gap	47%	26%
Performance without breakout day gap	45%	29%
Average gap size	\$0.56	\$0.41

* Fewer than 30 samples.

Breakout direction. As the table shows, almost all of the patterns have upward breakouts. Those with downward breakouts were too few to catalog, as I mentioned.

Yearly position, performance. The best performance comes from scallops breaking out in the middle of the yearly price range, especially if you ignore the low-sample-count bear market value.

Throwbacks. Throwbacks occur in two-thirds of the trades. When they do occur, it takes a stock 12 or 13 days, on average, to return to the breakout price.

When a scallop throws back, performance suffers. For example, scallops with throwbacks in bull markets have rises that average 43%. Without a throwback, the rise averages 49%. This trend is typical for chart pattern types, as if a throwback robs upward momentum and performance suffers.